C. thin-tailed compared to the normal distribution.

Solution:

C is correct. The distribution is thin-tailed relative to the normal distribution because the excess kurtosis is less than zero.

Use Exhibit 23 to answer questions 2–4.

An analyst examined a cross-section of annual returns for 252 stocks and calculated the following statistics:

Exhibit 23: Cross-Section of Annual Returns

Arithmetic Average	9.986%
Geometric Mean	9.909%
Variance	0.001723
Skewness	0.704
Excess Kurtosis	0.503

2. The coefficient of variation (CV) is closest to:

   A. 0.02.

   B. 0.42.

   C. 2.41.

   Solution:

   B is correct. The CV is the ratio of the standard deviation to the arithmetic average, or $\sqrt{0.001723}/0.09986 = 0.416$.

3. This distribution is best described as:

   A. negatively skewed.

   B. having no skewness.

   C. positively skewed.

   Solution:

   C is correct. The skewness is positive, so it is right-skewed (positively skewed).

4. Compared to the normal distribution, this sample's distribution is best described as having tails of the distribution with:

   A. less probability than the normal distribution.

   B. the same probability as the normal distribution.

   C. more probability than the normal distribution.

   Solution:

   C is correct. The excess kurtosis is positive, indicating that the distribution is "fat-tailed"; therefore, there is more probability in the tails of the distribution relative to the normal distribution.